



Factor Update, March 14, 2026

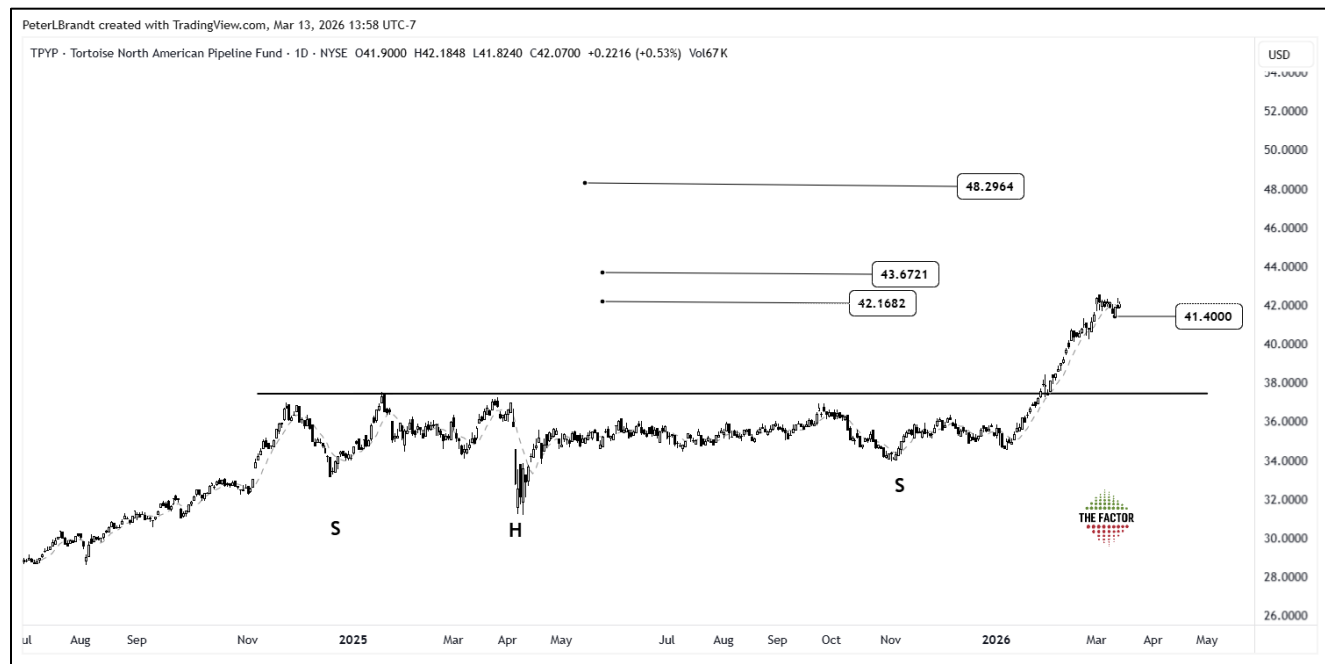
The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
- Long one unit of TPYP-etf - Long 1.5 units of KC Wheat futures - Short two units of 2-Yr Note futures - Long one+ unit of Crude Oil futures - Short two units of EuroFX futures	- Long one unit of CENX stock - Long two units of Corn futures - Short one unit of 10-Yr Bund Note futures - Short one unit of S&P futures
Markets under consideration for New Initial Positions (NIPs)	
Live Moo Cow futures	
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 975 as of Mar 13	

Markets with positions

TPYP-etf

- Factor is long two units (P and T).
- Current sizing = 3,600 shares/\$1M.
- The dominant chart patterns was a 14-month continuation inverted H&S on the weekly and daily charts.
- The initial target has basically been reached.
- This was just a textbook example of a horizontal pattern.



CENX-stock

- Factor remains long one unit (W).
- The current sizing = 300 shares/\$1M.
- The launching pattern was a 17-year inverted H&S.
- The daily chart is forming a broadening pattern.
- The outcome of the megaphone is uncertain, but it could become a continuation pattern. I am willing to extend my position based on this pattern's completion.
- The 48.04 level is my anchor point for stopping the trade out.
- The target is 79.97.



S&P futures

- I have been anxious to short a stock index – any stock index.
- The wash-out decline on Monday represented an out-of-line movement for what I believe to be a now-completed 14-wk H&S top.
- The close on Thursday verified the completion of this possible pattern.
- Factor sold a one-unit position on the kick-back rally to the neckline on Friday.
- The position is 10 MES contracts per \$1M.
- An even larger H&S top could form if Monday's low holds.
- The current position will most likely become a loser if a larger H&S top develops.



Eurocurrency futures

- Factor has commented several times in recent weeks on the expanding triangle or megaphone on the daily chart.
- I have held some uncertainty about this pattern until Friday during the Factor webinar when in talking through the pattern I was able to get my arms around the importance of Friday's decline.
- Factor established a two-unit position on Friday. I typically do not make intraday decisions.
- The sizing is four Minis per \$1M (a mini is 62,500 EUR). Using Minis may allow me to split a unit into tranches.
- The chart of the June contract was the thing that did it for me – an 8-month double top (a horizontal pattern).



Kansas City Wheat futures

- Factor is long one-and-one-half units.
- Sizing = 8 lots/\$1M.
- The dominant patterns were a wedge on the weekly chart and 7-month Chair with Ottoman on the daily chart of the May contract.
- Per the comments from the Feb 28 Update, a second unit was purchased Mar 2 at 5.75.



Corn futures

- Factor is long a two-unit position, having been stopped out of one unit on Monday's wash-out decline (it happens).
- Current sizing = 12 lots/\$1M.
- The dominant chart patterns are a "Flying M" on the weekly continuation chart and an 18-month common bottom on the daily chart of the December contract.



2-Year T-Note futures

- The 15-week rectangle I have so frequently mentioned broke down this past week.
- Factor established a full two-unit short position.
- The size is 14 lots per \$1M.
- The 1X and 2X targets are shown.



10-Yr Euro Bund futures

- The decline this past week completed 30-month and 12-month descending triangles.
- Factor established a single-unit short position on Wednesday.
- The size is 3 lots per \$1M.
- The targets are shown on the chart.



Crude Oil

- After Monday's unprecedented blast off the market was retraced all the way back to the \$78 breakout level on the weekly chart. I was tempted to buy this retracement but waited for an indication of a bottom.
- A Factor Member alerted me to an inverted H&S at the retracement level on the intraday chart.
- This inverted bottom was completed on Thursday.
- Factor is long an overweighted unit. I was too spooked to purchase two units.
- The size is 8 micros per \$1M.



Markets under review for review or curiosity

Live Cattle futures

- The Dec-Mar rally can be viewed as a retest of the Oct 2025 high.
- The daily chart displays a developing H&S top with a down-sloping neckline.
- I will consider the short side of this market, but with only a single unit.



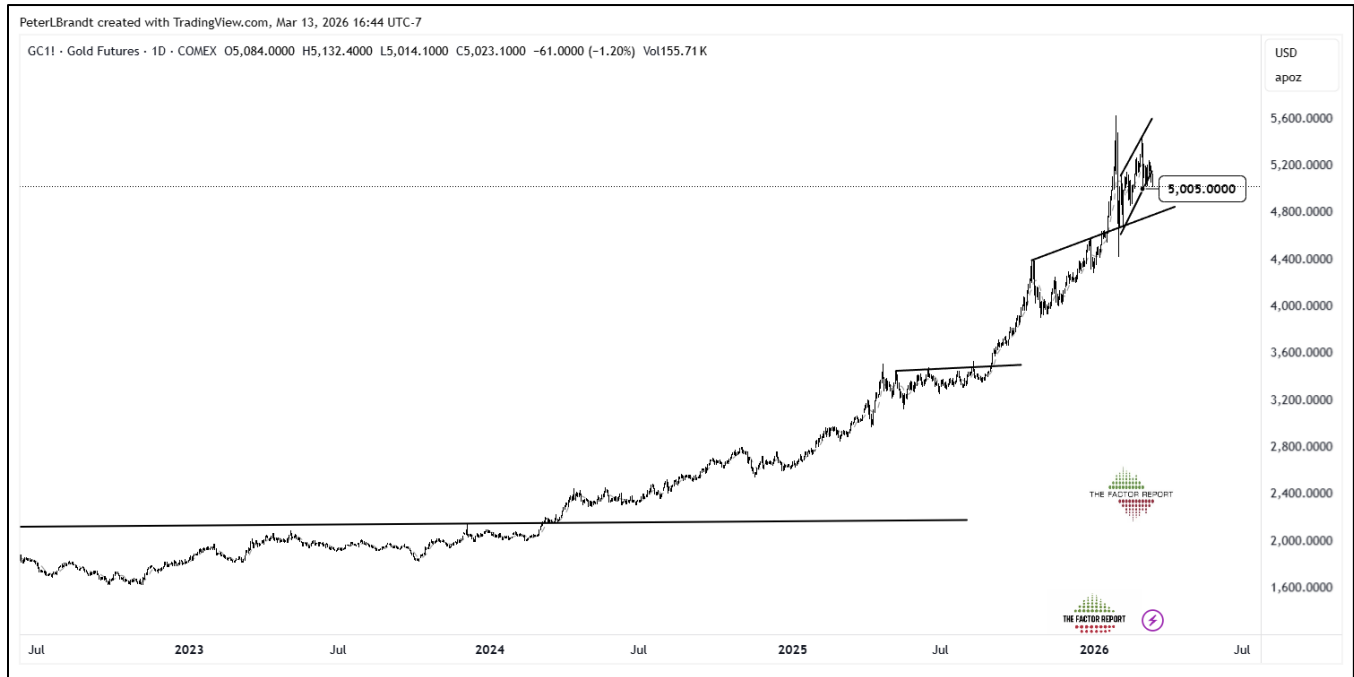
U.S. Dollar Index futures

- A well-established rectangle is formed on the weekly chart.
- This pattern could be completed in either direction. It should be noted that overhead resistance is heavy.
- Factor is flat in USDX – see comments on Eurocurrency.



Gold futures

- My long-term view is BULLISH.
- Thinking a market is going higher is NOT NOT the reason to be long as a swing trader.
- The inability of Gold to rally strongly in the face of this week's Iran war was a sign of underlying weakness, which showed its hand on Friday.
- There is no daily chart pattern with which I can establish a long position.
- Factor is flat. I will be monitoring the daily chart for a trading opportunity – but I see nothing now.



Trades existed during the week ending Mar 13, 2026

- Stopped out of a unit of Bitcoin futures when Friday's rally faltered
- Stopped out of a unit of Corn futures
- Stopped out of a unit of TPYP-etf

For the video version of this Factor Update Video click here:

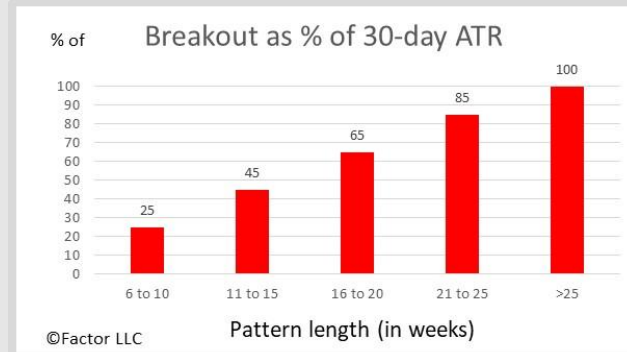
Link is to Factor Video Scroll from Mar 13, 2026

<https://www.youtube.com/watch?v=lYowHzDZguw>

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-day ATR of the latest day within the pattern
4. Multiply the 30-day ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-week H&S bottom would be 45% of the 30-day ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-day ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

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